# Equity Valuation and Comparable Analysis of Rogers Communications Inc.

ECO358 – Financial Economics

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# 1 Executive Summary

This report evaluates Rogers Communications Inc. using three Dividend Discount Model (DDM) approaches, Free Cash Flow analaysis to estimate WACC, and a valuation comparison with BCE and TELUS based solely on audited 2024 financial statements. The DDM analysis yields a range of equity costs of capital from 3.95% and 14.34%, changing due to assumptions on dividend growth (zero or constant) and time horizon of investments. The spread of estimates of equity costs reflects the sensitive response of required return to different assumptions in both dividend amount and time aspects.

Using market values of debt and equity, Rogers' WACC is estimated at approximately 4.39%. In the report, under assumption of no dividend growth, equity cost is lower than

estimated WACC, highly suggesting that Rogers is facing excessive risk due to its high risks because of Shaw Acquisition in 2023.

Overall, Rogers gives a strong rebound in 2024, with with total revenue of CAD 20,604 and net income of CAD 1,734 million, the highest among peers. However, comparable analysis shows Rogers is trading at the lowest EV/EBITDA multiple relative to Bell and TELUS. According to the valuation eqution, a lower multiple reflects either higher required return, lower expectation of growth, or an unstable cash flow. Considering Rogers past financial investments, the Shaw acquisition and a history of flat dividend growth, the firm's financial risk rises significantly, and a lower expectation growth is plausible compared to its peers.

Rogers appears to be underpriced than its peers, but if the firm continues to generate stable cash flow, and has effective strategies to reduce debt, then it could rebound and grow stronger. Rogers is suitable for long-term investors who can tolerate the risk, and have high expectations in potential growth of Rogers, given its suscessfull acquisitions and strategic financial investments.

# 2 Firm and Industry

## 2.1 Firm overview

Rogers Communications is one of Canada's leading telecommunications and technology corporations. Established in 1960 by Ted Rogers, the company initially focused on radio broadcasting before gradually expanding into television, cable distribution, wireless communications, and internet services. Today, the company operates through three primary business divisions: Wireless, Cable, and Media.

As of early 2026, Rogers has a market capitalization around C$28.9 billion in early 2026 (TSX). Rogers has a quarterly dividend of about C$0.50 per share, has paid dividends consistently for many years since early 2000s. Rogers has over 540 million shares outstanding [1].

### 2.1.1 Shaw Acquisition (2023)

In April 2023, Rogers Communications completed its historic merger with Shaw Communications for C$26 billion, creating one of Canada's largest national telecommunications companies [2]. The merger had expanded the market scale and make Rogers to compete more effectively in Canadian telecom industry. However, Rogers had to take on about C$6 billion of debt owed by Shaw, which contributed to a significant increase in its total debt levels. The high debt rises the leverage ratio sharply, making liquidity and short-term

financial flexibility constrained.

### 2.1.2 Maple Leaf Sports & Entertainment Acquisition (2024)

In 2024 and 2025, Rogers Communications become the majority owner of Maple Leaf Sports & Entertainment (MLSE), a sports and entertainment organizations, after closing its transaction to acquire BCE's 37.5% ownership stake for C$4.7 billion [3]. However, public markets often undervalue sport assets, and they also add financial volatility and risks because sport revenue depends on team performance, do not get sold often, and thus create a gap between stock market valuation and private sports asset value.

### 2.1.3 Financial Health

In fourth quarter of 2024 report, Rogers showed operational improvement in 2024 following the financial pressure caused by the Shaw acquisition in 2023.

Table 1: Consolidated Financial Highlights – Twelve Months Ended December 31

*(In millions of Canadian dollars, except per share amounts, unaudited)*

| **Metric** | **2024** | **2023** | **% Change** |
|---|---|---|---|
| Total revenue | 20,604 | 19,308 | 7% |
| Total service revenue | 18,066 | 16,845 | 7% |
| Adjusted EBITDA | 9,617 | 8,581 | 12% |
| Net income | 1,734 | 849 | 104% |
| Adjusted net income | 2,719 | 2,406 | 13% |
| Diluted earnings per share (CAD) | 3.20 | 1.62 | 98% |
| Adjusted diluted EPS (CAD) | 5.04 | 4.59 | 10% |
| Cash provided by operating activities | 5,680 | 5,221 | 9% |
| Free cash flow | 3,045 | 2,414 | 26% |

In 2024, Rogers experienced strong revenue growth, with total revenue rising to $20.6 billion, and adjusted EBITDA was up by 12%. Net income doubled compare to 2023, and free cash flow rised by 26%. The debt leverage ratio improved which implies an ongoing financial stability after the large Shaw acquisition. Available liquidity, however, had a slight decrease from $5.9 billion (Dec 2023) to $4.8 billion (Dec 2024).

## 2.2 Industry Overview

The Canadian telecommunications industry is highly concentrated and dominated by three national incumbents: Rogers, Bell Group, and TELUS [4]. Together, they create an oligopolistic structure which makes high barriers to entry due to insfrastructure and spectrum costs, having strong pricing power relative to smaller operators, and earn stable revenue base. In addition, the three largest operators benefit from a high concentration of revenue and subscriber market share, and together, they earn nearly 90% of retail mobile

phone revenues. In 2023, Canada's telecom industry generated about $59.6 billion in total revenues, a 4.3% increase from 2022 [4].

### 2.3 Competitive Landscape

The Canadian telecom industry remains highly concentrated, which support stable long-term cash flows. However, the compeition among the three largest national providers, Rogers, Bell Inc., and Telus Corporation, occur through pricing promotions, bundling strategies, and wireless services. The concentrated market supports predictable earnings and dividend payments;therefore, a long-run dividend growth is likely to be stable, and the overall industry is growing at a moderate speed rather than high.

Table 2: Key Metrics (2024, CAD millions)

| Metric | Rogers | Bell | TELUS |
|---|---|---|---|
| Revenue | 20,604 | 24,409 | 20,139 |
| Net Income | 1,734 | 375 | 938 |
| Finance Costs / Interest Expense | 2,295 | 1,713 | 1,576 |
| Depreciation & Amortization | 4,616 | 5,041 | 4,036 |
| Cash | 898 | 1,572 | 869 |
| Total Assets | 71,411 | 73,485 | 58,023 |
| Long-Term Debt | 38,200 | 32,835 | 25,608 |
| Total Liabilities | 61,008 | 56,125 | 41,225 |
| Shareholders' Equity | 10,403 | 17,360 | 16,798 |
| Dividends Declared | 1,068 | 3,827 | 2,314 |

Compared to Bell and TELUS, Rogers currently carries higher leverage following the Shaw acquisition.

## 3 Equity Cost of Capital

### 3.1 Cost of equity with infinitely long investment and no dividend growth

The most recent dividend payment of 0.5 is on Dec, 8 2025 and the stock price on the same date is $50.63. The equity cost of capital in APR for an infinitely long investment with no dividend growth is:

$$r_E = 4 \cdot \frac{Div_0}{P_0} = 4 \cdot (\frac{0.50}{50.63}) \approx 3.95\% \tag{1}$$

## 3.2 Cost of equity in One period

To compute one-period return, we buy the stock after the Sep 8, 2025 dividend date at price $P_0 = \$49.36$, and hold until after Dec 8, 2025 at price $P_1 = \$50.63$ dividend date. $Div_1 = \$0.50$ on Dec 8. The cost of equity in APR is:

$$r_E = 4 \times \left( \frac{0.50 + 50.63}{49.36} - 1 \right) = 4 \times \left( \frac{51.13}{49.36} - 1 \right) = 0.14344 \approx 14.34\% \tag{2}$$

## 3.3 Cost of Equity with Constant Dividend Growth

The last time the (quarter) dividend payments changed is on date Dec 10, 2018 which is $Div_{2018} = \$0.48$ and the next year (quarter) dividend is $Div_{2019} = \$0.50$ in 2019. The dividend growth rate over that year is:

$$g = \frac{4 \times 0.5 - 4 \times 0.48}{4 \times 0.48} \approx 4.17\% \tag{3}$$

Assume a constant dividend growth rate forever, the equity cost of capital under this dividend growth model is

$$r_E = \frac{Div_0}{P_0} + g = \frac{4 \times 0.50}{50.63} + 0.0417 \approx 8.11\% \tag{4}$$

## 3.4 Issue

We observe that $r_{E,\text{No Growth}} < r_{E,\text{Constant Growth}} < r_{E,\text{One Period}}$. First, the no growth model with infinitely long investments remains a constant dividend forever, thus it ignores the firm's future potential profits, then the rate of return is just the portion of dividend to the stock price. Second, growth model expects a constant growth rates infinitely, leading to higher return. However, it might overestimate the actual return rate because it depends heavily on the sustainability of the growth, which might be too optimistic for Rogers as they have not raised its dividend payout since 2018. The highest rate of return is computed under one-period model.

Holding stock by one period is highly risky and volatile, because the short-term fluctuations can be very high. Since stock price can change sharply in few days, and over short-time period, it is unpredictable and highly risky. Compared to other two models, they both hold assumptions of either no dividend growth or constant dividend growth rate in long-term, which is steady and expected, even though not realistic. Therefore the one-period of cost of equity is the highest one, because it casts more doubts and does not reflect the long-term required return.

# 4 Market Value of Equity

## 4.1 Discounted Free Cash Flow Model

Table 3: Valuation Inputs for Discounted Free Cash Flow Model

| Item | Amount (CAD millions) | Source |
|---|---|---|
| **Debt Components (2024)** | | page 102 [5] |
| Short-term borrowings | 2,959 | |
| Current portion of long-term debt | 3,696 | |
| Long-term debt | 38,200 | |
| Current portion of lease liabilities | 587 | |
| Lease liabilities (long-term) | 2,191 | |
| **Total Debt** ($Debt_0$) | 47,633 | Computed |
| Cash and cash equivalents ($Cash_0$) | 898 | page 102 [5] |
| Total shares outstanding | 535 | page 129 [5] |

Table 4: Balance Sheet Inputs Used for Enterprise Valuation

I use total shares outstanding at valuation date instead of diluted shares as valuation requires a point-in-time measure rather than the weighted avarage shares. Debt is defined as interest-bearing financial liability that include short-term borrowings, current maturities of long-term debt, and long-term debt as reported in the audited financial statements, because they are issued to raise financing capital by lenders who expect a rate of return. Given Roger's cash and cash equivalents balance of $898 million, total shares outstanding of 535 million share, and the closing TSX price $44.19 of RCI on December 31, 2024, the market value of equity is:

$$P = \frac{V_0 + \text{Cash} - \text{Debt}}{\text{Shares Outstanding}} \tag{5}$$

$$\implies 44.19 = \frac{V_0 + 898 - 47,633}{535} \tag{6}$$

$$V_0 = 70,376.65 \tag{7}$$

## 4.2 Rate of Debt

I choose the Rogers' "effective weighted average interest rate on all debt and short-term borrowings", reported in the Notes to Consolidated Financial Statements, which was 4.61% (2024) (page 146 [5]). The firm carries a large amount of debt and the structure is

diversified across all debt instruments, using the weighted average rate provides a more accurate measure of the total borrowing cost.

### 4.3 WACC

$$\text{WACC} = \frac{\text{Debt} \cdot r_D + \text{Equity} \cdot r_E}{\text{Debt} + \text{Equity}} = \frac{47633 \times 0.0461 + (535 \times 44.19) \times 0.0395}{47633 + (535 \times 44.19)} \approx 4.39\% \tag{8}$$

The equity cost of capital in Q1 under the model with no growth is 3.95% which is smaller than the debt cost. It might suggest that the assumption of no dividend growth likely underestimate $r_E$, or Rogers is bearing an extremely high debt due to its past acquisitions.

WACC is relevant for investors to evaluate the entire firm rather than just equity shares. WACC incorporates both debt and equity, so it gives a comprehensive valuation of a company. As the proportions of equity and debt vary, so will the WACC. Therefore, a manager usually care more about valuation of the whole firm in both sides, and rely on WACC rather than solely the equity cost of capital.

### 4.4 Free Cash Flow estimation

Under assumption of no dividend growth, this is the cash flow that is consistent with current market.

$$V_0 = \frac{\text{FCF}}{r_{\text{WACC}}} \implies \text{FCF} = V_0 \times r_{\text{WACC}} = 3089.53 \tag{9}$$

## 5 Comparable firms

| | Rogers | Bell | TELUS | Rogers Src | Bell Src | TELUS Src |
|---|---|---|---|---|---|---|
| Stock Price (31/12/2024) | 44.19 | 33.32 | 19.49 | Yahoo Fin. [6] | Yahoo Fin. [6] | Yahoo Fin. [6] |
| (Diluted) EPS | 3.200 | 0.180 | 0.670 | p.100 [5] | p.116 [7] | p. 6 [8] |
| Total Debt | 47,633 | 40,896 | 29,776 | Table 4 | p.117 [7] + Excel | p.7 [8] + Excel |
| Cash & Cash equivalents | 898 | 1,572 | 869 | p.100 [5] | p.117[7] | p. 6 [8] |
| (Diluted) Shares (millions) | 535 | 912.3 | 1,493 | p.129 [5] | p.137 [7] | p. 39 [8] |
| Enterprise Value | 70,376.65 | 69,721.84 | 58,005.57 | Eq.(5) | Eq.(5) | Eq.(5) |
| EBITDA | 9,217 | 7,706 | 6,840 | p.114 [5] + Excel | p.116[7] + Excel | p. 22[8] |
| Free Cash Flow | 3,224.73 | 6,282.65 | 5,657.72 | Eq.(9) | Eq.(9) | Eq.(9) |

Table 5: Financial Statement Inputs used for Valuation Multiples

## 5.1 Valuation Multiples

| Multiple | Rogers | Bell | TELUS |
|---|---|---|---|
| Dividend Yield | 0.04525911 | 0.11980792 | 0.07983581 |
| P/E Ratio | 13.809375 | 185.111111 | 29.0895522 |
| EV / EBITDA | 7.63552674 | 9.04773371 | 8.48034649 |
| Cost of Debt ($r_D$) | 0.0461 | 0.045 | 0.047 |

Table 6: Valuation Multiples

Bell has an extremely higher P/E ratio (185.11) compared to Rogers (13.80) and TELUS (29.089) in 2024, which implies Bell's P/E ratio was heavily influenced by short-term earnings shocks. This is also one of the limitations of using P/E as a comparable multiple because it is easily distorted by temporary earning fluctuations.

Rogers has the lowest EV/EBITDA multiple among its peers, with zero dividend growth, suggesting that it has higher financial risk, and market gives a lower valuation to its operating cash flows. The ratio is actually consistent with its $47633 (mil. CAD) of total debt. Although Rogers has the highest EPS of $3.20, high leverage reduces financial flexibility. Additionally, Rogers' flat dividend growth and lowest free cash flow $3224.73 (mil. CAD) have limited its financial flexibility, and justified that the firm was traded at a discount relative to Bell and TELUS.

However, due to the limitations of comparables approach, in which differences in multiple do not fully account for firm's specific characteristics. Looking back 2023, the valuation discount of Rogers can be explained by the Shaw acquisition. The merger significantly increased Rogers' total debt and leverage ratio, raising, affecting multiples in the short run. Shaw acquisition required large financing in capital expenditures and operating costs, those it initially constrained free cash flow. Rogers needed to prioritize preseving the liquidity, it makes sense that dividend growth stayed flat (low $g$).

If Rogers successfully execute a strategy to debt reduction, it can rebound, and if the acquisition generates sustainable revenue, then the multiples would expand.

Based on the model, Bell has the highest dividend yield among the comparable firms, and thus highest $r_E$ as investors demand a higher return. TELUS has a positive dividend growth with high dividend yield, so its payout implies mechanically higher $r_E$ compared to Rogers.

# 6 Financial Advice

## 6.1 Conclusion

The overall valuation suggests that Rogers Communications is at a stable phase after the Shaw acquisition in 2023. Followed by 2024, the debt is still high compare to peers, EV/EBITDA multiple is lower than Bell and TELUS, implying that the market is discounting Rogers' cash flows because of high financial risk.

## 6.2 Caveats and Further Considerations

The comparables approache using valuation multiples does not fully capture some specific characteistiscs of a form, especially those acquisitions of Shaw or MLSE as in 2023 and 2024, respectively. Future valuation highly depends on the performance and financial strategies of Rogers in reducing debt, improving cash flows, and stabilizing the risks. Therefore, the valuation requires time and long-term expectations from investors.

## 6.3 Recommendations

Given the performance of Rogers, the firm is suitable for long-term investors who have moderate risk tolerance, with high expectations in firms' stratgies to recover financial metrics. It can be considered to be Hold, or a Moderate Buy, but will not be suiatable for short-term investors who want to see competitive metrics with potential divident growth in short-term.

# 7 ChatGPT

Prompt: Please summarize the top 5 key takeaways from the Rogers Communications Q4 2025 earnings call transcript.

1. Strong Earnings Beat EPS of $1.51 exceeded expectations by nearly 50%. Revenue reached $6.17 billion, significantly above forecasts. Adjusted EBITDA for Q4 was CAD 2.7 billion, up 6%.

2. Deleveraging Success Debt leverage declined to 3.9x, returning to pre-Shaw levels nine months ahead of schedule.

3. Capital Efficiency Improvements CapEx declined 7% in Q4, and capital intensity fell to 15%, the lowest level since 2017. 2026 CapEx guidance declines further to CAD 3.3–3.5 billion.

4. Strong Free Cash Flow Q4 free cash flow exceeded CAD 1 billion, up 16% year-over-year. Full-year free cash flow exceeded CAD 3.3 billion.
5. Media and Sports Growth Q4 media revenue more than doubled due to Blue Jays postseason success and MLSE consolidation. Pro forma media EBITDA exceeded CAD 400 million.

Follow-up: How much of leverage reduction came from operating cash flow versus asset sales?

ChatGPT Answer: "The majority of deleveraging appears to be driven by strong free cash flow generation rather than asset sales, as the data center divestiture represented only CAD 0.2B compared to over CAD 3.3B in annual free cash flow."

Evaluation: Structural deleveraging improves equity risk profile and supports lower WACC over time. One-time asset sales would not justify a sustained reduction in cost of capital.

## References


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[3] Rogers Communications Inc. Rogers becomes majority owner of maple leaf sports & entertainment, 2025. URL https://about.rogers.com/news-ideas/rogers-becomes-majority-owner-of-maple-leaf-sports-entertainment/.

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| | Date | **Rogers** |
|---|---|---|
| Dividend (2025) | | |
| div_Q4 | 12/8/2025 | 0.500 |
| div_Q3 | | 0.500 |
| div_Q2 | | 0.500 |
| div_Q1 | | 0.500 |
| | | |
| Dvidend (2018) | 12/10/2018 | 0.480 |
| g | | 0.041667 |
| Stock Price | 12/8/2025 | 50.63 |
| | 9/8/2025 | 49.36 |
| | | |
| infinite r | | 0.039502 |
| 1-period r | | 0.143436 |
| growth dividend r | | 0.081169 |

| | Rogers | Source |
|---|---|---|
| Current liabilities | | |
| Short-term borrowings | 2959 | |
| Current portion of long-term | 3696 | |
| Current portion of lease liabil | 587 | |
| Non-current liabilities | | |
| Long-term debt | 38200 | |
| Lease abilities | 2191 | |
| Total Debt | 47633 | p102 Rogers Financial Position Statement |
| Cash and Cash equivalents | 898 | p102 Rogers Financial Position Statement |
| Total Share outstanding | 535 | p129 Rogers Note 15 |
| Stock privce (12/31/2024) | 44.19 | |
| Enterprise Value V_0 | 70376.65 | |
| Rate of debt | 0.0461 | DDM |
| Cost of equity | 0.039502 | DDM |
| WACC | 0.043912 | DDM |
| Free Cash Flow | 3090.348 | DDM |

| | Date | Rogers | Bell | TELUS |
|---|---|---|---|---|
| Dividend (2024) | | | | |
| div_Q4 | | 0.500 | 0.998 | 0.402 |
| div_Q3 | | 0.500 | 0.998 | 0.389 |
| div_Q2 | | 0.500 | 0.998 | 0.389 |
| div_Q1 | | 0.500 | 0.998 | 0.376 |
| Total | | 2.000 | 3.992 | 1.556 |
| Dividend (2023) | | | | |
| div_Q4 | | 0.500 | 0.968 | 0.376 |
| div_Q3 | | 0.500 | 0.968 | 0.364 |
| div_Q2 | | 0.500 | 0.968 | 0.364 |
| div_Q1 | | 0.500 | 0.968 | 0.351 |
| Total | | 2.000 | 3.872 | 1.455 |
| Dividend growth rate (g) | | 0.000 | 0.031 | 0.069 |
| Equity cost of capital (r_E) | | 0.045 | 0.151 | 0.149 |
| Stock Price | 31/12/2024 | 44.19 | 33.32 | 19.49 |
| Divident Yield | | 0.04525911 | 0.11980792 | 0.07983581 |
| (Diluted) EPS | | 3.2 | 0.180 | 0.670 |
| P/E ratio | | 13.809375 | 185.111111 | 29.0895522 |
| Total debt | | 47633 | 40896 | 0 |
| Cash | | 898 | 1572 | 869 |
| (diluted) shares | | 535 | 912.3 | 1493 |
| Enterprise value | | 70376.65 | 69721.836 | 28229.57 |
| EBITDA | | 9217 | 7706 | 6840 |
| V/EBITDA Ratio | | 7.63552674 | 9.04773371 | 4.12713012 |
| r_D | | 0.0461 | 0.045 | 0.047 |
| Equity | | 23641.65 | 30397.836 | 29098.57 |
| WACC | | 0.04582108 | 0.09011022 | 0.14925162 |
| FCF | | 3224.73397 | 6282.65003 | 4213.30908 |

| | |
|---|---|
| EBITDA | Earnings Before Interest, Taxes, Depreciation, and Amortization. |
| Total debt | Interest-bearing financing obligations |

| Bell | | Source |
|---|---|---|
| Net earnings | 375 | |
| Income taxes | 577 | |
| Finance costs (Interest expense) | 1713 | |
| Depreciation | 3758 | |
| Amortization | 1283 | |
| EBITDA | 7706 | p116 Bell Income Statement |
| Interest payable | 392 | |
| Debt due withtin one year | 7669 | |
| Long-term debt | 32835 | |
| Total Debt | 40896 | p117 Bell Financial Position Statement |

EBITDA = Net Profit + Interest + Taxes + Depreciation + Amortization

| Rogers | | Source |
|---|---|---|
| Net income | 1734 | |
| Income taxt expense | 2295 | |
| Finance costs | 572 | |
| Depreciation and amortization | 4616 | |
| EBITDA | 9217 | p100 Rogers Income Statement |
| Current liabilities | | |
| Short-term borrowings | 2959 | |
| Current portion of long-term debt | 3696 | |
| Current portion of lease liabilities | 587 | |
| Non-current liabilities | | |
| Long-term debt | 38200 | |
| Lease abilities | 2191 | |
| Total Debt | 47633 | p102 Rogers Financial Position Statement |

EBITDA = Net Profit + Interest + Taxes + Depreciation + Amortization

| TELUS | | Source |
|---|---|---|
| Operating income | 2804 | |
| Depreciation | 2513 | |
| Amortization of intangible assets | 1523 | |
| EBITDA | 6840 | p6 TELUS Income statment |
| Current liabilities | | |
| Short-term borrowings | 922 | |
| Current maturities of long-term de | 3246 | |
| Non-current liabilities | | |
| Long-term debt | 25608 | |
| Total Debt | 4168 | p7 TELUS Balance Sheet |

EBITDA = Operating Income + Depreciation + Amortization

# consolidated statements of income and other comprehensive income

| Years ended December 31 (millions except per share amounts) | *Note* | **2024** | 2023 |
|---|---|---|---|
| **OPERATING REVENUES** | | | |
| Service | | **$ 17,588** | $ 17,508 |
| Equipment | | **2,551** | 2,497 |
| Operating revenues (arising from contracts with customers) | *6* | **20,139** | 20,005 |
| Other income | *7* | **247** | 111 |
| Operating revenues and other income | | **20,386** | 20,116 |
| **OPERATING EXPENSES** | | | |
| Goods and services purchased | *16* | **7,639** | 7,537 |
| Employee benefits expense | *8, 16* | **5,907** | 6,148 |
| 2 Depreciation | *17* | **2,513** | 2,514 |
| 3 Amortization of intangible assets | *18* | **1,523** | 1,555 |
| | | **17,582** | 17,754 |
| 1 **OPERATING INCOME** | | **2,804** | 2,362 |
| Financing costs | *9* | **1,576** | 1,273 |
| **INCOME BEFORE INCOME TAXES** | | **1,228** | 1,089 |
| Income taxes | *10* | **290** | 222 |
| **NET INCOME** | | **938** | 867 |
| **OTHER COMPREHENSIVE INCOME (LOSS)** | *11* | | |
| **Items that may subsequently be reclassified to income** | | | |
| Change in unrealized fair value of derivatives designated as cash flow hedges | | **(101)** | (137) |
| Foreign currency translation adjustment arising from translating financial statements of foreign operations | | **133** | (30) |
| | | **32** | (167) |
| **Items never subsequently reclassified to income** | | | |
| Change in measurement of investment financial assets | | **(20)** | (12) |
| Employee defined benefit plan re-measurements | | **5** | 1 |
| | | **(15)** | (11) |
| | | **17** | (178) |
| **COMPREHENSIVE INCOME** | | **$ 955** | $ 689 |
| **NET INCOME ATTRIBUTABLE TO:** | | | |
| Common Shares | | **$ 993** | $ 841 |
| Non-controlling interests | | **(55)** | 26 |
| | | **$ 938** | $ 867 |
| **COMPREHENSIVE INCOME ATTRIBUTABLE TO:** | | | |
| Common Shares | | **$ 937** | $ 688 |
| Non-controlling interests | | **18** | 1 |
| | | **$ 955** | $ 689 |
| **NET INCOME PER COMMON SHARE** | *12* | | |
| Basic | | **$ 0.67** | $ 0.58 |
| Diluted | | **$ 0.67** | $ 0.58 |
| **TOTAL WEIGHTED AVERAGE COMMON SHARES OUTSTANDING** | | | |
| Basic | | **1,488** | 1,451 |
| Diluted | | **1,493** | 1,457 |

*The accompanying notes are an integral part of these consolidated financial statements.*



TELUS

# consolidated statements of financial position

| As at December 31 (millions) | Note | 2024 | 2023 |
|---|---|---|---|
| **ASSETS** | | | |
| **Current assets** | | | |
| Cash and temporary investments, net | | **$ 869** | $ 864 |
| Accounts receivable | 6(b) | **3,689** | 3,597 |
| Income and other taxes receivable | | **161** | 205 |
| Inventories | 1(l) | **629** | 484 |
| Contract assets | 6(c) | **465** | 445 |
| Prepaid expenses | 20 | **769** | 682 |
| Current derivative assets | 4(h) | **65** | 36 |
| | | **6,647** | 6,313 |
| **Non-current assets** | | | |
| Property, plant and equipment, net | 17 | **17,337** | 17,248 |
| Intangible assets, net | 18 | **20,593** | 19,721 |
| Goodwill, net | 18 | **10,544** | 10,058 |
| Contract assets | 6(c) | **325** | 303 |
| Other long-term assets | 20 | **2,577** | 2,493 |
| | | **51,376** | 49,823 |
| | | **$ 58,023** | $ 56,136 |

| As at December 31 (millions) | Note | 2024 | 2023 |
|---|---|---|---|
| **LIABILITIES AND OWNERS' EQUITY** | | | |
| **Current liabilities** | | | |
| 1 Short-term borrowings | 22 | **$ 922** | $ 104 |
| Accounts payable and accrued liabilities | 23 | **3,630** | 3,391 |
| Income and other taxes payable | | **142** | 126 |
| Dividends payable | 13 | **605** | 550 |
| Advance billings and customer deposits | 24 | **1,039** | 971 |
| Provisions | 25 | **236** | 317 |
| 2 Current maturities of long-term debt | 26 | **3,246** | 3,994 |
| Current derivative liabilities | 4(h) | **11** | 25 |
| | | **9,831** | 9,478 |
| **Non-current liabilities** | | | |
| Provisions | 25 | **686** | 744 |
| 3 Long-term debt | 26 | **25,608** | 23,355 |
| Other long-term liabilities | 27 | **869** | 867 |
| Deferred income taxes | | **4,231** | 4,390 |
| | | **31,394** | 29,356 |
| **Liabilities** | | **41,225** | 38,834 |
| **Owners' equity** | | | |
| Common equity | 28 | **15,620** | 16,112 |
| Non-controlling interests | | **1,178** | 1,190 |
| | | **16,798** | 17,302 |
| | | **$ 58,023** | $ 56,136 |

Contingent liabilities 29

*The accompanying notes are an integral part of these consolidated financial statements.*

Approved by the Directors:

/s/ "David L. Mowat"

David L. Mowat
Director

/s/ "John P. Manley"

John P. Manley
Director

# Consolidated Statements of Income

(In millions of Canadian dollars, except per share amounts)

| Years ended December 31 | Note | 2024 | 2023 |
|---|---|---|---|
| Revenue | 6 | 20,604 | 19,308 |
| Operating expenses: | | | |
| Operating costs | 7 | 10,987 | 10,727 |
| 4 Depreciation and amortization | 8, 9, 10 | 4,616 | 4,121 |
| Restructuring, acquisition and other | 11 | 406 | 685 |
| 2 Finance costs | 12 | 2,295 | 2,047 |
| Other (income) expense | 13 | (6) | 362 |
| Income before income tax expense | | 2,306 | 1,366 |
| 3 Income tax expense | 14 | 572 | 517 |
| 1 Net income for the year | | 1,734 | 849 |
| Earnings per share: | | | |
| Basic | 15 | $ 3.25 | $ 1.62 |
| Diluted | 15 | $ 3.20 | $ 1.62 |

The accompanying notes are an integral part of the consolidated financial statements.

EBITDA = Net income (1) + Finance cost (2) + Income tax expences (3) + (Depreciation + Amortization) (4)

= 1734 + 2295 + 572 + 4616

= 9217

# Consolidated Statements of Financial Position

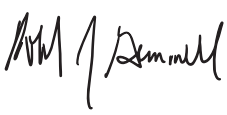
(In millions of Canadian dollars)

| | Note | As at December 31 2024 | As at December 31 2023 |
|---|---|---|---|
| Assets | | | |
| Current assets: | | | |
| Cash and cash equivalents | | **898** | 800 |
| Accounts receivable | *16* | **5,478** | 4,996 |
| Inventories | *17* | **641** | 456 |
| Current portion of contract assets | *6* | **171** | 163 |
| Other current assets | *18* | **849** | 1,202 |
| Current portion of derivative instruments | *19* | **336** | 80 |
| Assets held for sale | *8* | **–** | 137 |
| Total current assets | | **8,373** | 7,834 |
| Property, plant and equipment | *8, 9* | **25,072** | 24,332 |
| Intangible assets | *10* | **17,858** | 17,896 |
| Investments | *20* | **615** | 598 |
| Derivative instruments | *19* | **997** | 571 |
| Financing receivables | *16* | **1,189** | 1,101 |
| Other long-term assets | *6* | **1,027** | 670 |
| Goodwill | *3, 10* | **16,280** | 16,280 |
| Total assets | | **71,411** | 69,282 |
| Liabilities and shareholders' equity | | | |
| Current liabilities: | | | |
| 1 Short-term borrowings | *21* | **2,959** | 1,750 |
| Accounts payable and accrued liabilities | | **4,059** | 4,221 |
| Income tax payable | | **26** | – |
| Other current liabilities | *19, 22* | **482** | 434 |
| Contract liabilities | *6* | **800** | 773 |
| 2 Current portion of long-term debt | *23* | **3,696** | 1,100 |
| 3 Current portion of lease liabilities | *9* | **587** | 504 |
| Total current liabilities | | **12,609** | 8,782 |
| Provisions | *22* | **61** | 54 |
| 4 Long-term debt | *23* | **38,200** | 39,755 |
| 5 Lease liabilities | *9* | **2,191** | 2,089 |
| Other long-term liabilities | *6, 19, 24* | **1,666** | 1,783 |
| Deferred tax liabilities | *14* | **6,281** | 6,379 |
| Total liabilities | | **61,008** | 58,842 |
| Shareholders' equity | | **10,403** | 10,440 |
| Total liabilities and shareholders' equity | | **71,411** | 69,282 |
| Guarantees | *29* | | |
| Commitments and contingent liabilities | *30* | | |
| Subsequent events | *23, 26, 30* | | |

The accompanying notes are an integral part of the consolidated financial statements.

On behalf of the Board of Directors:

Edward S. Rogers
Director



Robert J. Gemmell
Director

# Consolidated income statements

| For the year ended December 31<br>(in millions of Canadian dollars, except share amounts) | Note | 2024 | 2023 |
|---|---|---|---|
| Operating revenues | 3 | **24,409** | 24,673 |
| Operating costs | 3, 5 | **(13,820)** | (14,256) |
| Severance, acquisition and other costs | 6 | **(454)** | (200) |
| 1 Depreciation | 17 | **(3,758)** | (3,745) |
| 2 Amortization | 19 | **(1,283)** | (1,173) |
| Finance costs | | | |
| 3 Interest expense | 7 | **(1,713)** | (1,475) |
| Net return on post-employment benefit plans | 27 | **66** | 108 |
| Impairment of assets | 8, 17, 19 | **(2,190)** | (143) |
| Other expense | 9 | **(305)** | (466) |
| 4 Income taxes | 10 | **(577)** | (996) |
| 5 **Net earnings** | | **375** | 2,327 |
| **Net earnings attributable to:** | | | |
| Common shareholders | | **163** | 2,076 |
| Preferred shareholders | | **181** | 187 |
| Non-controlling interest | 36 | **31** | 64 |
| **Net earnings** | | **375** | 2,327 |
| **Net earnings per common share – basic and diluted** | 11 | **0.18** | 2.28 |
| **Weighted average number of common shares outstanding – basic (millions)** | | **912.3** | 912.2 |

# Consolidated statements of comprehensive income

| For the year ended December 31<br>(in millions of Canadian dollars) | Note | 2024 | 2023 |
|---|---|---|---|
| **Net earnings** | | **375** | 2,327 |
| **Other comprehensive income (loss), net of income taxes** | | | |
| Items that will be subsequently reclassified to net earnings | | | |
| Net change in value of derivatives designated as cash flow hedges, net of income taxes of $144 million and $93 million for 2024 and 2023, respectively | | **(393)** | (257) |
| Items that will not be reclassified to net earnings | | | |
| Actuarial gains (losses) on post-employment benefit plans, net of income taxes of ($213) million and $149 million for 2024 and 2023, respectively | 27 | **583** | (404) |
| Net change in value of publicly-traded and privately-held investments, net of income taxes of ($38) million and ($50) million for 2024 and 2023, respectively | | **239** | 325 |
| Net change in value of derivatives designated as cash flow hedges, net of income taxes of ($21) million and $5 million for 2024 and 2023, respectively | | **59** | (12) |
| **Other comprehensive income (loss)** | | **488** | (348) |
| **Total comprehensive income** | | **863** | 1,979 |
| **Total comprehensive income attributable to:** | | | |
| Common shareholders | | **648** | 1,731 |
| Preferred shareholders | | **181** | 187 |
| Non-controlling interest | 36 | **34** | 61 |
| **Total comprehensive income** | | **863** | 1,979 |

# Consolidated statements of financial position

| (in millions of Canadian dollars) | Note | December 31, 2024 | December 31, 2023 |
|---|---|---|---|
| **ASSETS** | | | |
| **Current assets** | | | |
| Cash | | **1,572** | 547 |
| Cash equivalents | | **–** | 225 |
| Short-term investments | | **400** | 1,000 |
| Trade and other receivables | 12 | **4,489** | 4,031 |
| Inventory | 13 | **420** | 465 |
| Contract assets | 14 | **477** | 443 |
| Contract costs | 15 | **702** | 633 |
| Prepaid expenses | | **259** | 230 |
| Other current assets | | **524** | 264 |
| Assets held for sale | 4, 16 | **80** | 60 |
| **Total current assets** | | **8,923** | 7,898 |
| **Non-current assets** | | | |
| Contract assets | 14 | **282** | 292 |
| Contract costs | 15 | **888** | 779 |
| Property, plant and equipment | 17 | **30,001** | 30,352 |
| Intangible assets | 19 | **16,786** | 16,609 |
| Deferred tax assets | 10 | **136** | 96 |
| Investments in associates and joint ventures | 20 | **341** | 323 |
| Post-employment benefit assets | 27 | **3,578** | 2,935 |
| Other non-current assets | 21 | **2,289** | 1,714 |
| Goodwill | 4, 22 | **10,261** | 10,942 |
| **Total non-current assets** | | **64,562** | 64,042 |
| **Total assets** | | **73,485** | 71,940 |
| **LIABILITIES** | | | |
| **Current liabilities** | | | |
| Trade payables and other liabilities | 23 | **4,507** | 4,729 |
| Contract liabilities | 14 | **774** | 811 |
| 1 Interest payable | | **392** | 332 |
| Dividends payable | | **933** | 910 |
| Current tax liabilities | | **42** | 268 |
| 2 Debt due within one year | 24 | **7,669** | 5,042 |
| Liabilities held for sale | 4, 16 | **529** | 15 |
| **Total current liabilities** | | **14,846** | 12,107 |
| **Non-current liabilities** | | | |
| Contract liabilities | 14 | **350** | 277 |
| 3 Long-term debt | 25 | **32,835** | 31,135 |
| Deferred tax liabilities | 10 | **5,244** | 4,869 |
| Post-employment benefit obligations | 27 | **1,204** | 1,278 |
| Other non-current liabilities | 28 | **1,646** | 1,717 |
| **Total non-current liabilities** | | **41,279** | 39,276 |
| **Total liabilities** | | **56,125** | 51,383 |
| Commitments and contingencies | 34 | | |
| **EQUITY** | | | |
| **Equity attributable to BCE shareholders** | | | |
| Preferred shares | 30 | **3,533** | 3,667 |
| Common shares | 30 | **20,860** | 20,859 |
| Contributed surplus | 30 | **1,278** | 1,258 |
| Accumulated other comprehensive loss | | **(159)** | (42) |
| Deficit | | **(8,441)** | (5,513) |
| **Total equity attributable to BCE shareholders** | | **17,071** | 20,229 |
| **Non-controlling interest** | 36 | **289** | 328 |
| **Total equity** | | **17,360** | 20,557 |
| **Total liabilities and equity** | | **73,485** | 71,940 |